

BE

BE N/A

|      |                  |                              |                                     |                        |
|------|------------------|------------------------------|-------------------------------------|------------------------|
| Hold | \$224.41 ▼ 6.25% | 12M Price Target<br>\$260.00 | 52-Week Range<br>\$24.04 – \$351.28 | Market Cap<br>\$63.83B |
|------|------------------|------------------------------|-------------------------------------|------------------------|

BE: Big AI Deal Overshadowed by China Short Report

WHAT HAPPENED

- Bloom announced a MASSIVE deal overnight — Brookfield (IDF) and Oaktree are dropping \$1.7 billion to fund BE fuel cells for AI data centers. That's genuine validation that hyperscalers can't get grid power fast enough and are turning to on-site fuel cells. This should be a rip-your-face-off rally day.
- BUT — and this is the twist — the stock is DOWN 6.25% because a short seller report dropped yesterday claiming China could kneecap BE's growth by restricting rare earth or component exports. The market is telling you the China risk narrative is stronger right now than the \$1.7B financing win, which is a big deal for a name that's up 10x from its 52-week low.

WHY IT MATTERS

The fact that a \$1.7B financing package couldn't lift the stock tells you sentiment has shifted — bulls have been running the tape from \$24 to \$351, and now bears finally have a story that sticks (China supply chain). This probably means BE is entering a "prove it" phase where every earnings call gets picked apart for component sourcing exposure. The bigger picture: BE is now genuinely core AI infrastructure — hyperscalers like Oracle, Microsoft, and Meta are signing multi-year power deals because grid interconnects take 5-7 years and they need power NOW. That AI-power scarcity thesis isn't going away, but the stock has priced in a lot of it, so upside from here requires either (a) actual revenue conversion of these deals or (b) a China de-escalation catalyst.

POLICY & POLITICAL WATCH

The critical policy angle is the ongoing US-China trade posture — the Trump administration has been layering export controls and tariffs, and China has retaliated with rare earth and critical mineral restrictions. BE's fuel cells use platinum group metals and specialty ceramics where China dominates supply, so any escalation directly threatens their cost structure. On the positive side, the "Powering AI in America" narrative has bipartisan support — expect continued permitting reform and grid resilience funding, plus the Inflation Reduction Act fuel cell tax credits (Section 48) are still intact through 2032, which is a huge subsidy that makes BE's economics work for customers.

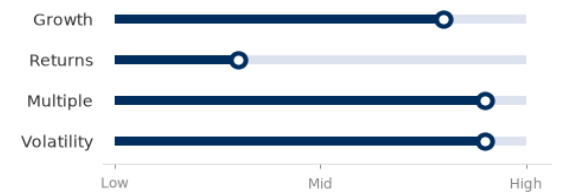
IS IT EXPENSIVE?

At \$63.8B market cap on ~\$2.1B expected 2026 revenue, investors are paying about \$30 for every \$1 of sales — that's nosebleed territory, roughly triple where fuel cell peers trade. The bull case says this is justified because BE just proved it can lock in \$1.7B of external financing and revenue could double by 2027, but the bear case is that any earnings hiccup or China headline sends this back to \$150 fast because there's no valuation floor.

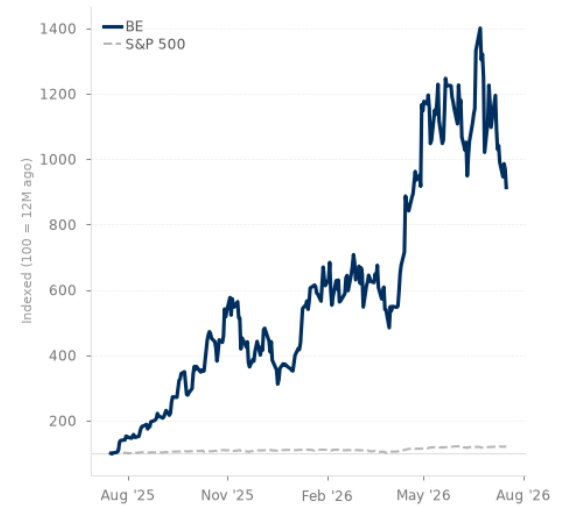
Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$224.41 |
| 12M Price Target    | \$260.00 |
| Upside / (Downside) | +15.9%   |
| Market Cap          | \$63.83B |
| FY2026E Revenue     | \$2,100M |
| FY2027E Revenue     | \$2,850M |
| FY2026E EPS         | \$0.15   |
| FY2027E EPS         | \$0.55   |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$260.00  | \$230.00  | \$190.00  |
| 6 Months  | \$320.00  | \$260.00  | \$170.00  |
| 1 Year    | \$400.00  | \$280.00  | \$150.00  |
| 2 Years   | \$500.00  | \$340.00  | \$120.00  |
| 5 Years   | \$750.00  | \$450.00  | \$90.00   |
| 10 Years  | \$1200.00 | \$600.00  | \$60.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Energy (+4.4% over 5 days) is on fire because of the AI power demand story — utilities, nuclear, and now fuel cells are all beneficiaries of the "we don't have enough electrons for AI" thesis. Healthcare bouncing today on defensive rotation.

**COOLING OFF:** Tech isn't in today's leaderboard, which is notable — feels like a mild risk-off day where high-multiple growth is getting sold.

**ROTATION WATCH:** Money is flowing into "picks and shovels" AI plays — the companies that POWER the AI buildout rather than the AI software names themselves. That's a direct tailwind for BE, but today it's being overshadowed by the China narrative.

**RELATED PLAY:** If you like the AI-power thesis but want less single-stock risk, look at nuclear names (NNE, VST, CEG) or grid infrastructure (GEV, ETN) — same tailwind, different risk profile.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Independent power producer with nuclear exposure — direct AI-power beneficiary without China supply chain risk.
- GEV (GE Vernova): Grid and turbine maker riding the same data center power buildout, more diversified than BE.

**BE CONTEXT:** BE is LAGGING peers today despite having the best news (the \$1.7B deal), which tells you the market is punishing the China-exposed name specifically. That's a red flag for near-term momentum but potentially a setup for a bounce if trade rhetoric cools.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**CONVICTION:** 6/10 — I like the story but the stock got ahead of itself and the China risk is real, so I'm not pounding the table here.

**POSITION SIZE:** 2-3% of portfolio — the upside is legit but the volatility is brutal (52-week range is \$24 to \$351, that's not a typo). Keep it small.

**ENTRY POINTS:** I'd wait for \$200-215 or lower. If the China narrative gets worse before it gets better, you could see a \$180 print — that's where I get more aggressive.

**TIME HORIZON:** 12-24 months. The catalyst you're waiting for is order flow conversion from the \$1.7B financing announcement and next 2-3 hyperscaler deals.

**WHEN TO BAIL:** If China formally restricts fuel cell components, if BE announces a big equity raise that dilutes shareholders more than 10%, or if a major customer walks — any of those and I'm cutting.

**HEDGING:** Buy some cheap out-of-the-money puts as insurance, or short a smaller fuel cell peer like Plug Power (PLUG) against your BE long — that way you're isolated to BE outperforming its sector rather than betting on the whole space.